

GDP and Standard of living
↳ and other indicators!
Olevel



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GDP, gross domestic product :- It is the total value of all the final goods produced with the boundary of a country, within a given period of time, usually one year.

↓
* Total output ↑

or
Incomes ↑
or
Expenditures ↑

Gross domestic product is the value of final goods and services produced by domestically located factors of production; no matter where the owners are located i.e. it is the value of output produced within the boundaries of a country during a year.

The difference between GDP and GNP is the matter of ownership. Part of income generated in the domestic economy goes abroad in the form of remittances, interest and profits or dividends. Foreign

factors of production located in the domestic economy also send their incomes to their home countries which become part of their countries' GNP. This is called property income paid abroad. Similar types of income flows into the domestic economy sent by the domestic factors of production abroad. This is called property income earned abroad.

To calculate GNP we subtract property income paid abroad and add property income earned abroad i.e. we add net property income from abroad in to GDP to calculate GNP.

GDP ↑ → Output ↑, Economic growth, lower prices, C ↑, X (TR) ↑, Incomes ↑

↓
Income ↑ → Tax revenue

C ↑

Aggregate demand ↑

Production ↑

Demand ↑

Employment ↑

↓
choices ↑ (more of consumer goods)

↓
Higher standard of living

↓
Government spendings ↑ (multiplier)

↓
Infrastructure
Education
Health
etc

(Affecting people in poverty)

“Therefore a rise in GDP will contribute to rise in standard of living”

Q2 Explain how a rise in GDP can contribute to standard of living? 6

GDP ↑ Standard of living ↑ (Is it an appropriate indicator)?

* GDP ↑, income ↑, S.O.L ↑, population ↑ (If rate of population exceeds the rate of income, then?)
↳ dependency ↑

↓ GDP per head = $\frac{\text{GDP} \uparrow}{\text{Total population} \uparrow}$, so S.O.L ↓
or
GDP per capita

Q3 State the formula of
a) GDP per head
b) Real income [2]

* GDP ↑, Income ↑, but inflation ↑, Real income ↓

Real income % = Nominal income % - Inflation %
↳ 'GDP'

(If rate of inflation exceeds the rate of income/GDP, then?)

↳ purchasing power as it is adjusted with inflation

S.O.L = Standard of living (Don't use short form)

* GDP ↑ (Output is increasing but if negative externalities are far more than the rise in income, then?)

output ↑

production ↑

Externalities ↑ (External cost e.g. pollution)

Health care ↓

Life expectancy ↓

Standard of living ↓

(Income is rising but reaped by rich only, then?)

* GDP ↑, Income ↑, but Uneven distribution, Standard of living ↓

* Infant mortality rate (High): It is the number of infant deaths for every 1000 live births

* Fertility rate (High) at a given age is the number of children born alive to women of that age during the year as the proportion of the average annual population of women of the same age.

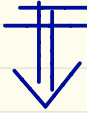
* Access to clean water (Low)

Important, GDP is not the appropriate indicator to measure standard of living

Q4 Define infant mortality and fertility rate? 4

Human Development Index (HDI)

[Indicator to measure
standard of living]



Better than GDP

- * Real GDP per head (Income, population and inflation taken into consideration)
 - * longevity, life expectancy at birth
 - * Education enrollment / literacy rate
 - ↳ Expected years of schooling
- connect to health care provision

Q5 Explain how human development index is measured? 6

Q Discuss whether the human development index (HDI) is the best way of comparing the standard of living in different countries?

Why it is :-

- * It includes GDP/CNI per head, but goes beyond this
- * It takes into account life expectancy, this reflects the quality of health care
- * It includes mean and expected years of schooling / adult literacy and school enrolment, this reflects access to education.
- * It divides countries into very high, high, medium and low human development, it is measured from 0 to 1.
- * There is also an Inequality HDI, which takes into account the distribution of income.

Why it is not :-

- * It does not take into account all relevant indicators, for instance it does not include the effects on the environment, which is included in MEW measure. It doesn't include infant mortality, numbers of doctors per head, gender inequality, political freedom and other indicators

Some common characteristics of least developed countries. Every country has its special problems and rates of progress vary widely but there are some features which are common to the majority of the least developed countries which are:

1. High birth rates, relatively high death rates and a low expectancy of life: These countries have a high rate of population growth and high dependency rate
2. Concentration on agriculture: In some countries more than 70% of the labour force is engaged in agriculture, even then the degree of specialization productivity is low which is due to e.g. lack of capital equipment and hidden unemployment
3. A poor natural resource endowment: Many of the least developed countries are in tropical and subtropical regions where soils are fragile and climate conditions unfavorable for many agricultural activities.
4. Social, religious and cultural patterns: Where people are strongly attached to customary ways, it is extremely difficult to improve mobility of labour and introduce new techniques.
5. Low level of investment in human capital: Workers are lacking in education and technical skills and the relatively low standards of health often mean a low level of performance
6. A heavy dependence on a narrow range of export products (usually primary products).

Import terms:-

Death rate:- Number of people in a country die per thousand of population, over a given period of time (usually a year)

Net migration:- It is the difference between the number of immigrants coming into a country and the number of emigrants leaving a country.

Absolute poverty is where people do not have access to basic items, such as food, shelter and clothing, living on less than e.g. \$1.25 a day

Relative poverty is where people are poor relative to other people in the economy, i.e. they have access to fewer goods and services than others, relative poverty always exists.

Ageing population:-

This is where people are generally living longer
The average age of people in a country increases
More older people as a proportion of the population